

The stock formed a rectangle top at D. At E, the stock peaked and started moving down.

At F, 16 January 2007, I wrote this in my notebook: “Sell reason: The utility average is heading lower. The utility stocks I own are all showing weakness and also the ones I follow. I hate to sell, but it's the wise course. Other stocks will do better this year than utilities in the short-term anyway. This is completing a pullback to the trendline, and it'll soon continue down.” I made 16% on the trade, including dividends.

I'm not sure to what trendline I'm referring, but I show a likely candidate at K. The stock *did* continue lower but only the next day. From there, it built a broadening top pattern (not shown) and eventually found the ultimate high at 28.60 before the 2007–2009 bear market pulled the rug from under the stock. It bottomed at 19.03 in 28 October 2008.

- Lesson: If you want current income, utility stocks provide a good way to participate in both income and capital gains. Income-producing stocks offer some downside protection in bear markets.
- Lesson: Utility stocks can be slow movers. Other stocks won't pay big dividends, but the capital appreciation could be higher.
- Lesson: Try for a balanced portfolio of income-producing stocks and those better suited for large capital gains.

Sample Trade

[Figure 51.5](#) shows a paper trade I made. The rectangle bottom appeared after price dropped from a high of 20.63 in October 1997 (not shown). The drop was a painful one, but it did not occur all at once. Price dropped quite rapidly to 15 where it moved horizontally for 8 months. Then the second half of the decline took over, and price reached a low of about 11.

Price bounced off the low several times like a boy taking his first steps on a trampoline. They were tentative, shaky, with not much enthusiasm. Then in mid-October 1998, price touched the bottom trendline and moved quickly across the rectangle to tie the September high at 12.38. A few more oscillations and the two trendline boundaries became apparent.